

NOVA RETAIL TECHNOLOGIES LTD.

Synthetic Annual Financial Report
Financial Year Ended 31 March 2026

Important Notice

This is a fictional financial document created for testing an AI Financial Document Q&A; Assistant. All company names, figures, management statements, and financial information are synthetic and should not be used for investment or business decisions.

1. Company Overview

Nova Retail Technologies Ltd. develops cloud-based retail software, inventory management systems, and analytics tools for small and medium-sized retailers. The company operates primarily in India and serves approximately 8,400 business customers.

2. Financial Highlights

Metric	FY 2026	FY 2025	Change
Revenue	Rs 248.0 million	Rs 210.0 million	18.1% increase
Gross Profit	Rs 148.8 million	Rs 121.8 million	22.1% increase
Operating Profit	Rs 32.2 million	Rs 24.6 million	30.9% increase
Net Profit	Rs 21.6 million	Rs 16.4 million	31.7% increase
Cash and Cash Equivalents	Rs 46.5 million	Rs 38.2 million	21.7% increase
Total Debt	Rs 18.0 million	Rs 22.5 million	20.0% decrease

3. Statement of Profit and Loss

Particulars	FY 2026	FY 2025
Revenue from Operations	Rs 248.0 million	Rs 210.0 million
Cost of Goods and Services	Rs 99.2 million	Rs 88.2 million
Gross Profit	Rs 148.8 million	Rs 121.8 million
Employee Costs	Rs 62.0 million	Rs 53.0 million
Technology and Infrastructure	Rs 21.5 million	Rs 18.4 million
Sales and Marketing	Rs 18.0 million	Rs 15.8 million
Other Operating Expenses	Rs 15.1 million	Rs 10.0 million
Operating Profit	Rs 32.2 million	Rs 24.6 million
Finance Costs	Rs 4.2 million	Rs 5.1 million
Profit Before Tax	Rs 28.0 million	Rs 19.5 million
Income Tax Expense	Rs 6.4 million	Rs 3.1 million
Net Profit	Rs 21.6 million	Rs 16.4 million

4. Balance Sheet

Particulars	FY 2026	FY 2025
Cash and Cash Equivalents	Rs 46.5 million	Rs 38.2 million
Trade Receivables	Rs 31.0 million	Rs 27.4 million
Inventory	Rs 12.5 million	Rs 10.8 million
Property and Equipment	Rs 42.0 million	Rs 36.5 million
Other Assets	Rs 18.0 million	Rs 15.6 million
Total Assets	Rs 150.0 million	Rs 128.5 million
Trade Payables	Rs 22.0 million	Rs 19.2 million
Total Debt	Rs 18.0 million	Rs 22.5 million
Other Liabilities	Rs 15.0 million	Rs 12.8 million
Shareholders' Equity	Rs 95.0 million	Rs 74.0 million
Total Liabilities and Equity	Rs 150.0 million	Rs 128.5 million

5. Cash Flow Summary

Particulars	FY 2026	FY 2025
Cash Flow from Operating Activities	Rs 38.0 million	Rs 29.5 million
Cash Flow from Investing Activities	(Rs 21.0 million)	(Rs 17.0 million)
Cash Flow from Financing Activities	(Rs 8.7 million)	(Rs 6.2 million)
Net Increase in Cash	Rs 8.3 million	Rs 6.3 million
Closing Cash Balance	Rs 46.5 million	Rs 38.2 million

6. Key Performance Indicators

KPI	FY 2026	FY 2025
Gross Margin	60.0%	58.0%
Operating Margin	13.0%	11.7%
Net Profit Margin	8.7%	7.8%
Customer Retention Rate	92.0%	89.0%
Annual Recurring Revenue	Rs 220.0 million	Rs 184.0 million
Revenue per Customer	Rs 29,524	Rs 25,000

7. Management Discussion

Revenue increased by 18.1% due to higher subscription income and expansion into regional retail markets. Gross margin improved from 58.0% to 60.0% because of improved cloud infrastructure utilization and a higher proportion of software subscription revenue. Operating expenses increased as the company expanded its engineering and customer-support teams.

The company reduced total debt by Rs 4.5 million during the year. Management expects continued investment in product development, cybersecurity, and artificial intelligence features during FY 2027. These investments may increase short-term operating expenses but are expected to support customer retention and long-term revenue growth.

8. Risk Factors

- Customer concentration: The ten largest customers represent approximately 28% of annual revenue.
- Technology risk: Service interruptions or cybersecurity incidents could affect customer confidence and operating results.
- Competition: Larger enterprise software providers may introduce lower-priced products.
- Foreign exchange risk: Approximately 12% of operating expenses are denominated in foreign currencies.
- Execution risk: Rapid expansion into new markets may increase hiring, support, and compliance costs.

9. Outlook for FY 2027

Management has set an internal objective of reaching Rs 290 million in revenue and maintaining a gross margin above 60%. Planned initiatives include launching an AI-powered inventory forecasting module, expanding channel partnerships, and improving automated customer support. These are forward-looking targets and are not guarantees of future performance.

10. Sample Questions for Testing the Q&A; Assistant

- What was the revenue growth from FY 2025 to FY 2026?
- Calculate the net profit margin for FY 2026.
- Why did gross margin improve?
- How much debt did the company reduce?
- What are the major risks mentioned in the report?
- What is the expected revenue target for FY 2027?
- Compare operating profit and net profit between FY 2025 and FY 2026.
- What percentage of revenue comes from the ten largest customers?